SECTION B – WRITTEN QUESTIONS (TOTAL: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (22 marks – approximately 38 minutes)

An audit firm, BBC & Co, was approached by F & B Limited, which is a newly incorporated private company in Hong Kong, to do the first audit of its financial statements. F & B Limited is engaged in the Food and Beverage industry. F & B Limited runs over 20 restaurants and bars in Hong Kong. When negotiating the audit fee, the director of the company indicated that they have effective internal control and reliable information systems. He believes that the auditor can rely on the company's effective internal control system and therefore assign less audit staff to carry out the audit work even though there are numerous sales transactions occurring in a year.

Required:

(a) **Briefly describe the statutory audit requirement for F & B Limited including the timing for the first set of financial statements and subsequent financial statements.**

(3 marks)

(b) **Control activities are one of the components of internal control. List the remaining four components of internal control.**

(4 marks)

(c) **Describe the risk assessment procedures to be performed by the auditor for understanding of the entity's control activities relevant to the preparation of the financial statements.**

(6 marks)

(d) **Define the audit risk model and its elements at assertion level. (Please ignore the risk of material misstatements at the overall financial statements level).**

(6 marks)

(e) **The auditor relies on the company's effective internal control system and, therefore, assigns less audit staff to carry out the audit work of the sales revenue, which is a significant class of transactions in this industry, even though there are numerous sales transactions occurring in a year. Explain the statement with the audit risk model by assuming that inherent risk is not considered significant.**

(3 marks)

Question 2 **(17 marks – approximately 30 minutes)**

Reliable financial statements facilitate the decision making of users of the general-purpose financial statements which lead to efficient allocation of resources in the economy. Internal auditors and external auditors play important roles for the integrity and accuracy of the financial statements of an entity. External auditors are appointed by entities for different types of assurance services, and audits are only one kind of assurance services.

Required:

(a) Briefly describe the roles of internal auditors and external auditors in the context of financial statements auditing.

(4 marks)

(b) Under the Hong Kong Framework for Assurance Engagements, there are five elements for an assurance engagement. List the FIVE elements of an assurance engagement and explain each of them under the financial statements audit.

(10 marks)

(c) List THREE factors to be evaluated by an external auditor to determine whether the work of the internal audit function can be used for purposes of the audit.

(3 marks)

<u>Question 3</u> **(17 marks – approximately 30 minutes)**

Audit procedures are the means by which the auditor gathers sufficient and appropriate audit evidence. HKSA 500 *Audit Evidence* recognises seven types of procedures which the auditor can use to gather sufficient appropriate audit evidence. One of the seven types of audit procedures is analytical procedures. Analytical procedures are applied in the three stages of an audit: namely planning, execution, and completion.

<u>Required:</u>

(a) **One of the seven types of audit procedures is analytical procedures. List and explain the remaining SIX types of audit procedures.**

(9 marks)

(b) **Describe the purpose of analytical procedures as a risk assessment procedure at the planning stage of an audit.**

(2 marks)

(c) **List the THREE factors for auditors' consideration when designing and performing analytical procedures as substantive procedures for auditing company's expenses.**

(3 marks)

(d) **List THREE analytical procedures that can be used to identify possible sources of misstatements in company's expenses.**

(3 marks)

Question 4 **(24 marks – approximately 40 minutes)**

You are the audit manager of EEG & Co, the external auditor of Great Resources Limited ("GRL"), for the year ended 31 December 2022. GRL is principally engaged in property development and property investment in China.

From the audit working paper, you read some notes prepared by the audit senior in charge as follows:

GRL incurred a net loss of RMB1,000 million for the year ended 31 December 2022. As at 31 December 2022, GRL had a net deficit (negative retained earnings) of RMB1,844 million and GRL's current liabilities exceeded its current assets by RMB2,233 million. The total equity is negative RMB708 million.

In addition, GRL was not able to fulfil certain covenants relating to borrowings of RMB12,139 million, and these borrowings became repayable on demand as at 31 December 2022.

Furthermore, there were also legal actions initiated by certain lenders against GRL to demand repayment of borrowings and/ or to secure their interests in GRL's assets.

The directors of the company have been undertaking measures to improve GRL's liquidity and financial position, which are set out in note 2.1 to the financial statements. The validity of the going concern assumption on which the financial statements have been prepared depends on the outcome of these measures, which are subject to multiple uncertainties, including: (i) successfully negotiating with GRL's existing lenders to seek extension of the due dates of GRL's borrowings; (ii) successfully carrying out GRL's business strategy plan and cost control measures so as to improve GRL's working capital and cash flow position; and (iii) successfully obtaining additional new sources of financing upon the completion of a planned reorganisation.

Should GRL be unable to operate as a going concern, adjustments may have to be made to write down the carrying values of GRL's assets to their recoverable amounts, to provide for further liabilities which might arise, and to reclassify non-current assets and non-current liabilities as current assets and current liabilities, respectively. The effects of these adjustments have not been reflected in the financial statements.

We were unable to obtain additional sufficient appropriate audit evidence to substantiate the validity of the going concern assumption.

The directors disagreed to any qualification and suggested to put an emphasis of matter paragraph in the auditor's report.

Required:

(a) **Explain the going concern basis of accounting.**

(6 marks)

(b) **According to HKSA 570 (Revised) *Going Concern*, the auditor's work should be to obtain sufficient appropriate audit evidence to evaluate management's assessment of the entity's ability to continue as a going concern. List FOUR possible procedures for evaluating management's assessment.**

(5 marks)

(c) **Describe an emphasis of matter paragraph.**

(2 marks)

(d) **List THREE types of modified auditor's opinion.**

(3 marks)

(e) **Contrast the major differences of the three types of modified auditor's opinion.**

(2 marks)

(f) **Determine the type of auditor's opinion for the financial statements of GRL for the year ended 31 December 2022 with detailed explanation.**

(6 marks)

* * * END OF EXAMINATION PAPER * * *